
PTI

RSS chief Mohan Bhagwat decried the divisive discourse among parties during Election 2024 and pushed for a national consensus to sort out key issues. He was against treating the Opposition as enemies

17 per cent of the GDP remains a blot, with small scale industry still gasping for survival, and growth in exports flattering to deceive. Inexplicably, two major job-creating sectors—tourism and textiles—remain neglected treasures. Most PSU disinvestment plans have been postponed indefinitely. Education reform and skill development have proceeded at a leisurely pace while initiatives in health need to go beyond providing insurance and subsidised medicine and focus on a qualitative shift in treatment and facilities.

THE LOW-HANGING FRUIT

Having chalked out a 125-day agenda long before the election was over, Modi and his team are likely to hit the ground running. The first indication of what the new government intends to do to stimulate the economy should come with the full Union budget in July. With 44 per cent of India's labour force in agriculture and accounting for only 15 per cent of the total GDP, improving labour productivity in this sector is an urgent imperative. With another massive chunk of labour employed in the small-scale sector, which has yet to recover from the blows of the pandemic, the country's unemployment and underemployment situation remains precarious. As a top economist who did not wish to be named says, "The fundamental problem is that capital is concentrated in places where there are fewer workers. And a large part of the workforce is working without capital. All these account for low labour productivity. Ultimately, it is a transformation problem. More workers have to be brought into manufacturing and services. The false binary between manufacturing and services must go and we should walk on both these legs."

In agriculture, the government should find ways to wean farmers away from their debilitating addiction to grain production and diversify into the higher-paying though risky business of horticulture while meeting the country's requirement for pulses and edible oils, which we continue to import in large quantities. Almost one third of agricultural produce is estimated to go to waste due to poor post-harvesting techniques and insufficient primary processing and storage infrastructure. India's Rs 2.5 lakh crore processed food industry continues to be at a nascent stage, accounting for 1.8 per cent of the GDP currently but with the scope for exponential growth. The 2020 farm laws passed by the Modi regime during the Covid pandemic were meant to break the logjam in the sector, but the manner in which they were rammed through didn't inspire confidence among farmers, particularly in the country's grain bowl of Punjab, Haryana and parts of Uttar Pradesh. The government must now address their key fears—and needs. It could set up a network of cold chains to preserve fruits and vegetables, besides incentivising farmer-producer cooperatives that could enable them to transport and sell their produce at remunerative prices.

Experts say that apart from agriculture reform, there are several low-hanging fruit that the Modi government can pluck. For instance, the tangled multiplicity and maze of Indian labour laws has been a chief constraint in private sector growth. Modi had in his second term talked about lowering India's "regulatory cholesterol" and, among other things, got his government to subsume the 29 central and industrial labour laws into four new labour codes. These codes covered social security; occupational safety, health and working conditions; industrial relations; and wages. The bill was passed in September 2020 and draft central rules issued. Twenty-four states, barring West Bengal, Sikkim, Meghalaya and Nagaland, have published their draft rules since. All that is left is for the Centre to issue a final notification to make the rules come into effect, but it will first have to overcome the massive pushback from labour unions across the country. Simultaneously, the country's skill development programme must be beefed up forthwith to meet the drastic shortfall of skilled manpower in the country. Also, to kickstart reforms in the labour-intensive textiles and tourism sectors and put them on the fast track.

UNLEASHING ANIMAL SPIRITS

The government will have to work on two other major factors of production—land and capital—to unleash the animal spirits of entrepreneurship and trigger a surge in private investment. In his first term, the Modi government yielded to farmers' protests and backed down from implementing the controversial land acquisition bill that had made it easier to convert agricultural land for use in industry and infrastructure projects. Experts say that the land market in urban India is among the most expensive in the world, largely because of the scarcity. It whittles down the competitive advantage of Indian enterprises when it